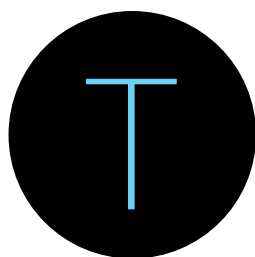




BY S.N. SUBRAHMANYAN

Infra will Make India a Developed Country

But significant challenges still exist and need to be overcome



TO BECOME A developed country with a \$20-trillion economy is India's dream at 100, characterised by better economic growth, improved general standard of living, higher per capita income, and superior performance on the Human Development Index (HDI), which includes education, literacy and health. It is oft stated that for India to grow, India must build and, therefore, by direct inference,

infrastructure development is key to India realising her dream. Although the pace of infrastructure development has been impressive over the past couple of decades, there is no denying that both speed and scale must significantly increase. Fortunately, technology is emerging as the great enabler, paving the way for faster, safer, cleaner and more accurate construction with better control on quality and costs, with minimum damage to the environment.

Financing India's infrastructure dream: India needs a more mature financial architecture that allows for a phase-wise system of financing by

on-boarding different classes of investors with different risk appetites. If investors in bonds are usually not keen to bear the construction risk, banks should ideally finance projects at the construction phase with project special purpose vehicles (SPVs) empowered to issue bonds and funds during the post-construction phase to pay off the bank loans. The risk-bearing can, thus, get evenly distributed among multiple players. However, the Reserve Bank of India (RBI) and other regulators would need to fine-tune the existing regulations so that the credit ratings for such bonds do not become a hindrance.

We must also recast the way our infrastructure projects are financed. India's bond market needs to be deepened further so that its contribution to infrastructure financing can be enhanced. This will bring down the large dependence on commercial banks, especially public sector banks.

Over the years, the public-private partnership (PPP) model has undergone many changes. The need of the hour is to rejuvenate this model with a robust PPP framework that incorporates learnings from experience where both the government and private parties are clear about their roles. It is imperative for the state governments and local administrations to also partner with the centre in drawing up a pipeline of shovel-ready projects so that the private sector can focus on the execution part.

Foreign funds are always welcome: Substantial private funds also need to be mobilised from overseas investors to bridge the existing infrastructure deficit. The 100 per cent tax exemption allowed for investments by Sovereign Wealth Funds (SWFs) in infrastructure projects is a clear indication that the government is serious about attract-